

TOTAL KENYA LIMITED

SUMMARY OF UNAUDITED FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE 2014

STATEMENT OF FINANCIAL POSITION

AS AT	30 June 2014 Kshs'000'	31 Dec 2013 Kshs'000'
ASSETS		
Non - current assets		
Property, plant and equipment, prepaid operating leases and intangible assets	9,121,345	9,160,770
Goodwill	416,679	416,679
Deferred tax asset	403,211	369,452
Total non-current assets	9,941,235	9,946,901
Current assets		
Inventories	15,581,774	14,953,214
Trade and other receivables	13,215,060	10,104,545
Cash and cash equivalents	1,326,572	4,979,505
Total current assets	30,123,406	30,037,264
TOTAL ASSETS	40,064,641	39,984,165
EQUITY AND LIABILITIES		
Equity		
Share capital	9,974,771	9,974,771
Share premium	1,967,520	1,967,520
Retained earnings	3,690,178	3,436,769
Total equity	15,632,469	15,379,060
Non-current liabilities		
Trade and other payables	1,211,919	1,117,028
Current liabilities		
Trade and other payables	12,397,522	20,993,447
Short term bank borrowings	10,822,731	2,494,630
Total current liabilities	23,220,253	23,488,077
TOTAL EQUITY AND LIABILITIES	40,064,641	39,984,165

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE PERIOD ENDED	30 June 2014 Kshs'000'	30 June 2013 Kshs'000'
Gross sales	90,400,855	65,789,573
Indirect taxes and duties	(7,648,636)	(5,983,786)
Net sales	82,752,219	59,805,787
Cost of sales	(79,436,274)	(56,942,364)
Gross profit	3,315,945	2,863,423
Other income	237,874	219,415
Operating expenses	(2,330,987)	(2,103,856)
Finance costs - Net	(141,383)	(154,589)
Net foreign exchange loss	(42,276)	(67,337)
Profit before tax	1,039,173	757,056
Tax charge	(408,039)	(295,753)
Profit for the period	631,134	461,303
Other comprehensive income, net of tax	-	-
Total comprehensive income for the period	631,134	461,303
Earnings per share (basic and diluted) - Kes/Share	1.00	0.73

COMMENTS

The company's performance for the period ended 30 June 2014 is in line with the Board's projection and is consistent with plans put in place and executed by management.

Sales volumes increased by 37% from 621 KMT in 2013 to 851 KMT in 2014. This resulted from the increased sales to other Oil Marketing Companies (OMCs) after the company continued to win contracts to supply the industry with refined products under the Open Tender System (OTS) agreement. In addition, other sales channels, especially Network, Lubricants and Consumer recorded increased sales. Resulting from this strong sales performance, the company was able to retain inland market leadership position.

Net sales increased by 38% mainly as a result of the increase in sales volumes while cost of sales increased by 40% resulting in a lower gross margin from 4.8% in 2013 to 4.0% in 2014. This reduction of percentage gross margin was attributable to increased OTS sales that have low margins but were more than compensated for by the increase in sales leading to 15.8% growth in gross profit from Kes 2.8 billion in 2013 to Kes 3.3 billion in 2014.

STATEMENT OF CASH FLOWS

FOR THE PERIOD ENDED	30 June 2014 Kshs'000'	30 June 2013 Kshs'000'
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash used in operations	(10,890,184)	(3,124,245)
Tax paid	(458,005)	(295,500)
Net cash used in operating activities	(11,348,189)	(3,419,745)
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment, prepaid operating leases and intangible assets	(500,468)	(446,193)
Proceeds on disposal of property, plant and equipment	9,006	14,929
Net cash used in investing activities	(491,462)	(431,264)
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest paid	(141,383)	(154,589)
Net cash used in financing activities	(141,383)	(154,589)
Net decrease in cash and cash equivalents	(11,981,034)	(4,005,598)
CASH AND CASH EQUIVALENTS		
As at 1 January	2,484,875	(3,661,480)
As at 30 June	(9,496,159)	(7,667,078)

STATEMENT OF CHANGES IN EQUITY

FOR THE PERIOD ENDED 30 June 2014	Share Capital Kshs'000'	Share Premium Kshs'000'	Retained Earnings Kshs'000'	Total Equity Kshs'000'
As at 1 January 2013	9,974,771	1,967,520	2,250,385	14,192,676
Declared dividends - 2012	-	-	(125,909)	(125,909)
Profit for the six months period	-	-	461,303	461,303
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	461,303	461,303
As at 30 June 2013	9,974,771	1,967,520	2,585,779	14,528,070
As at 1 January 2014	9,974,771	1,967,520	3,436,769	15,379,060
Declared dividends - 2013	-	-	(377,725)	(377,725)
Profit for the six months period	-	-	631,134	631,134
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	631,134	631,134
As at 30 June 2014	9,974,771	1,967,520	3,690,178	15,632,469

Operating expenses were reasonably controlled and increased by 11% (Kes 227 million) in line with growth in business in the current period coupled with inflation adjustments on services. Finance expenses remained relatively stable.

Profit before tax of Kes 1.04 billion was realised in the period compared to Kes 757 million in the same period in 2013. Net profit for the year was Kes 631 million (2013: Kes 461 million).

The company maintained a very strong financial position while total assets remained stable at Kes 40 billion.

Investments totalling Kes 500 million were made in the period compared to Kes 446 million in the same period in 2013, representing an increase of 12% in line with the strategy to develop the business and safety standards.

DIVIDENDS

The Directors do not recommend payment of an interim dividend.

OUTLOOK

The macroeconomic environment has been fairly stable over the period under review and we are optimistic that will be maintained for the remainder of the year. It is on the premise of stable macroeconomic environment, continuous participation in the oil industry tenders under the OTS agreement and expected return on planned investments that the Board has guarded confidence that the results for the second half of the year shall be positive.

By order of the Board

Ada EZE
Managing Director
August 28, 2014